

SOUTH SUDAN

Key conditions and challenges

Table 1 2021

Population, million	11.4
GDP, current US\$ billion	5.0
GDP per capita, current US\$	437.3
International poverty rate (\$1.9) ^a	76.5
Lower middle-income poverty rate (\$3.2) ^a	91.7
Upper middle-income poverty rate (\$5.5) ^a	97.8
Gini index ^a	44.2
School enrollment, primary (% gross) ^b	73.0
Life expectancy at birth, years ^b	57.8
Total GHG Emissions (mtCO2e)	71.0

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2016), 2011 PPPs.

b/ WDI for School enrollment (2015); Life expectancy (2019).

South Sudan's recovery is constrained by falling oil production and climate shocks. Consequently, the economy is projected to contract by 0.8 percent in FY2021/22 despite higher oil prices. Food insecurity deteriorated, and poverty is estimated to increase for the second consecutive year, reaching 80 percent in FY2021/22. Living conditions continue to be impacted by violence, displacement, climate shocks, and inadequate service delivery.

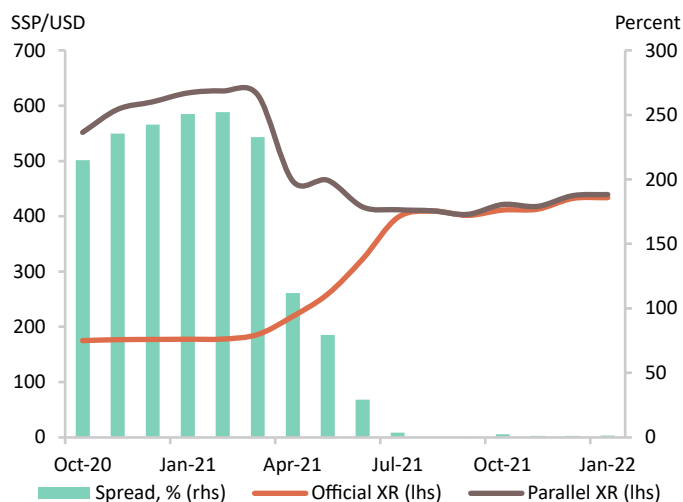
South Sudan is at a crossroads in its recovery, reconstruction, and development path. Having gained independence in 2011 in what was expected to be a new dawn for the conflict-torn country, optimism was high on the back of high commodity prices, abundant natural resources, and international goodwill. However, weak institutions and recurring cycles of conflict have curtailed progress. Initial peace efforts proved futile as successive peace agreements collapsed and the country relapsed to conflict in 2013 and again in 2016. The conflict precipitated a macroeconomic crisis and economic decline with widening fiscal deficits, high and persistent inflation, and spiraling foreign exchange rate premia. Oil production plummeted and did not recover to pre-independence levels. Consequently, a decade after independence, South Sudan remains caught in a web of fragility, economic stagnation, and instability. Due to this fragility, real household incomes declined and living standards deteriorated. Poverty and food insecurity remain major concerns and have been reinforced by inadequate provision of services, infrastructure deficits, displacement, and recurring climatic shocks. In 2021, there were 2 million internally displaced persons in the country (55 per cent of whom were women and girls), as compared to 1.7 million in 2020. An additional

2.3 million South Sudanese remain refugees hosted in neighboring countries. While the signing of the 2018 peace deal started to bring positive economic outcomes in FY2018/2019, the COVID-19 pandemic and natural disasters halted this positive dynamic. With lower oil exports, government revenues, and disrupted agricultural production, the economy contracted by an estimated 5.1 percent in FY2020/21, while 4 in 5 individuals remain under the international poverty line. Going forward, strengthening service delivery institutions, governance, and economic and public financial management systems will prove critical as the country seeks to build resilience to future shocks, providing building blocks for a diversified, inclusive, and sustainable growth path.

Recent developments

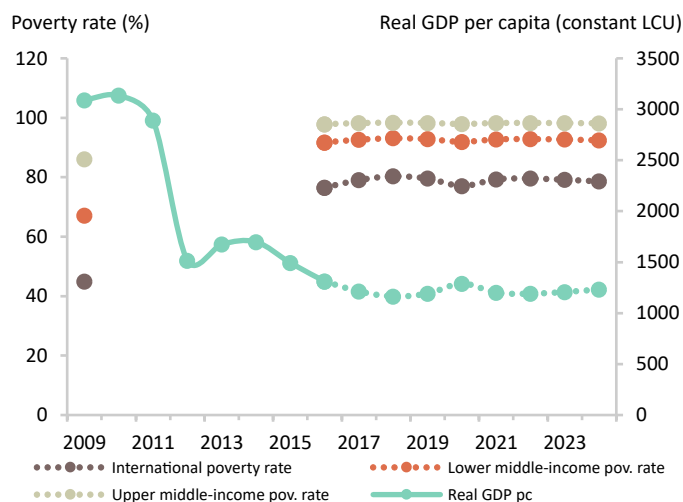
South Sudan faced significant headwinds in FY2020/21, with the pandemic, floods, and violence flareups affecting economic activities. Consequently, the economy is estimated to have contracted by 5.1 percent in FY2020/21 and poverty to increase by 2.3 percentage points. Oil production declined by 0.3 percent, as floods affected production and the COVID-19 pandemic delayed new investments to replace exhausted wells. In the agriculture sector, cereal production declined by 4 percent as flooding precipitated estimated losses of 38,000 tons of cereals and 800,000 livestock according to FAO estimates. These events had

FIGURE 1 South Sudan / Exchange rate developments



Source: World Bank.

FIGURE 2 South Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

detrimental effects on household wellbeing as flooding was concentrated in areas that were already facing high levels of food insecurity.

Inflation averaged 43 percent in FY2020/2021 (compared to 33 percent in FY2019/2020) but was on a declining path in the first half of FY2021/2022. According to official CPI data, the 12-month inflation rate for Juba declined to 1.6 percent in December 2021, from a peak of 93.8 percent in January 2021. This brings some degree of relief to households amid stalled disposable incomes. These positive developments are consistent with recent reform efforts. The premium between the official and parallel exchange rates has been eliminated in 2021 and monetization of the fiscal deficit has ceased since September 2020.

The FY2021/22 budget includes a fiscal surplus equivalent to 1.1 percent of GDP, reflecting a large planned fiscal adjustment from an estimated fiscal deficit of 6.9 percent realized in FY2020/21. However, the financing gap in the FY2021/22 budget is estimated at 1.8 percent of GDP, despite a budgetary drawdown of SDRs equivalent to 2.7 percent of GDP. Due to higher oil export values, lower financial transfers to Sudan, and weaker import demand growth for capital projects, the current account deficit is estimated to have narrowed to 5.5

percent in FY2020/21 from 20.3 percent in FY2019/20. South Sudan remains at a high risk of debt distress for both external and overall public debt.

Outlook

South Sudan's economy is projected to contract by 0.8 percent despite higher oil prices and improving macroeconomic conditions in FY2021/22. These developments reflect falling oil production, which is projected to decline by 7.2 percent in FY2021/22, and the impact of climate shocks on agriculture. Nevertheless, higher budget revenues are expected to support domestic demand, with growth in the services sector projected to recover to 4.7 percent in FY2021/22 from a contraction of 9.7 percent in previous year. Over the medium-term, growth could average around 2.5 – 4.0 percent, with developments in the non-oil sectors and a recovery in consumption being the main contributing factors. Poverty, in turn, is expected to remain stagnant at 80 percent in the coming years. Successful implementation of the ongoing public financial management reforms and macroeconomic stabilization program, along with prudent

use of budgetary resources, are vital to create opportunities for the achievement of faster and more inclusive growth.

High frequency data indicate that food prices started increasing in February 2022. Nevertheless, inflation is expected to decline gradually over the medium term and will benefit from improved fiscal and monetary discipline, exchange rate market liberalization, and deepening public financial management reforms. Non-oil tax revenue performance is projected at 3.2 percent of GDP in FY2021/22, higher than the 2.6 percent of GDP contained in the FY2021/22 budget, reflecting the National Revenue Authorities' efforts to expand the tax base and the implementation of a range of measures to strengthen its tax administration functions.

The fiscal deficit could narrow to 2.5 percent of GDP in FY2021/22 from an estimated 6.9 percent of GDP in FY2020/21, on the back of a strong recovery of international oil prices. In parallel, the current account is expected to record a surplus of 0.3 percent of GDP in FY2021/22, from a deficit of 5.5 percent in FY2020/21, reflecting higher oil export revenues, lower financial transfers to Sudan, and lower import demand for capital projects especially in the oil sector.

TABLE 2 South Sudan / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2019	2020	2021e	2022f	2023f	2024f
Real GDP growth, at constant market prices	3.2	9.5	-5.1	-0.8	2.5	4.0
Real GDP growth, at constant factor prices	3.2	9.5	-5.1	-0.8	2.5	4.0
Agriculture	9.9	6.0	-4.0	-1.3	2.1	3.4
Industry	20.9	27.5	-2.3	-4.0	0.9	3.1
Services	-12.1	-9.6	-9.7	4.7	5.1	5.6
Inflation (Consumer Price Index)	63.6	33.3	43.1	24.0	16.0	12.1
Current Account Balance (% of GDP)	-6.3	-20.3	-5.5	0.3	2.8	1.2
Net Foreign Direct Investment (% of GDP)	-1.7	-0.4	0.9	0.9	0.8	2.1
Fiscal Balance (% of GDP)	-1.0	-9.8	-6.8	-2.6	-1.8	-3.5
Debt (% of GDP)	32.7	40.7	57.6	53.7	49.2	44.9
Primary Balance (% of GDP)	-0.5	-7.8	-4.4	-0.5	-0.2	-2.4
International poverty rate (\$1.9 in 2011 PPP)^{a,b}	79.6	77.0	79.3	80.2	80.2	79.6
Lower middle-income poverty rate (\$3.2 in 2011 PPP)^{a,b}	92.9	91.9	92.7	93.1	93.0	92.9
Upper middle-income poverty rate (\$5.5 in 2011 PPP)^{a,b}	98.3	97.9	98.2	98.4	98.4	98.3
GHG emissions growth (mtCO₂e)	1.3	0.5	1.9	3.9	6.5	10.7
Energy related GHG emissions (% of total)	2.4	2.1	1.8	1.6	1.3	1.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

a/ Calculations based on 2016-HFS-W3. Actual data: 2016. Nowcast: 2017-2021. Forecasts are from 2022 to 2024.

b/ Projection using neutral distribution (2016) with pass-through = 0.87 based on GDP per capita in constant LCU.